དགེ་ལེགས་གྱུན་འབྱུང་ཁྲིམས་ལྷན་ཞབས་ཏོག

Geylek Kuenjung Law Firm
Thimphu: Bhutan
(YOUR JUSTICE, OUR MISSION)

September 22, 2025

To,
The Chief Executive Officer,
Bhutan Postal Corproation Limited,
Thimphu: Bhutan.

Sub: **Request to Released Legal Service Fees**

Dasho,

This has reference to the Legal Service Agreement between Bhutan Postal Corproation Limit and Firm for representation of Arbitration case between **Bhutan Postal Corproation Limited v/s Gyalcon Infrastructure Private Limted** concerning construction of building at Gelephu. In this regard, the firm would like to apprise Dasho that **the closing statement/argument was submitted on September 18, 2025** and award will be delivered by tribunal in next one month.

Therefore, as envisaged in Clause 4(3) of the Legal Service Agreement, the Firm would like to request Dasho to kindly release 20% of the agreed fee Nu. 140,000/- (One Hundred and Forty only) from a total agreed Nu. 700,000/- (Seven Hundred Thousand only). The fee may be deposited into following account.

- Account No. 214433432
- Accounder Holder: Geylek Kuenjung Law Firm

Please find attached a copy of Respondent closing statement/argument submission and Legal Service Agremeent for reference.

Thanking you.

Your Sincerely,

Mr. Kuenzang Dorji
(Attorney at Law)

Cc:
1. Office Copy.

IN THE MATTER OF AN ARBITRATION UNDER ARBITRATION RULES 2023 OF BHUTAN ADR CENTRE
BETWEEN:

(GYALCON INFRASTRUCTURE PVT. LTD)

(CLAIMANT)

AND

BHUTAN POSTAL CORPORATION LIMITED

(RESPONDENT)

Closing Statement of Respondent

Respondent's Representative

Mr. Kuenzang Dorji
(Lawyer)

September 18, 2025

To,
The Hon'ble Members of the Arbitral Tribunal,
Thimphu: Bhutan.

The Legal Counsel for the Respondent respectfully would like to submit a closing statement reiterating the following important points.

1) The Respondent respectfully objects to the Tribunal's jurisdiction, arguing that the Claimant failed to refer the dispute to arbitration within the 14-day period required under **GCC Clause 24.1**. Therefore, the **notice of arbitration should be dismissed**.

2) The Respondent respectfully reaffirms its position on the application of GCC Clause 28.2 regarding the extension of the intended completion date. While agreeing with the three conditions outlined by the Claimant for applying Clause 28, the Respondent disagrees with the Claimant's interpretation that the clause lacks specific timeframes for extension requests. The Respondent argues that although Clause 28 does not specify timeframes, GCC Clauses 32.1, 32.2, and 39.3 provide timeframes. The Respondent submits that the Claimant's first extension request came months after the intended completion date, with no prior notices, making the request invalid. Moreover, the variations cited do not constitute a substantial change warranting a time extension, and the lack of timely notice suggests the arbitration is merely an attempt to avoid lawful liquidated damages. Therefore, the Claimant's claim for extension is unfounded and should not be entertained.

3) The Respondent denies setting or communicating a new final project completion date late. The approved dateline by board was December 31, 2024. However, the Respondent had informed and provided until January 31, 2024 following notice of computation error. Further, the Respondent denies that new works were issued post-completion for the following reason submitted earlier.
   - These were not new works but were already part of the original BOQ.
   - The changes amounted to **omissions** or **reductions in scope**, not additions.
   - Time extension for omitted or reduced work is **unreasonable and not justified** under the contract.
   - Failure to give **timely notice**, **late material changes requests**, and **delayed execution** by the Claimant were the root causes of delays.

Therefore, imposition of **53 days of liquidated damages** is **lawful**, in line with contract terms and MoF directives.

4) The Respondent respectfully agrees that under **GCC Clause 56**, final payment must be made within 30 days **only if** the contractor's final accounts are **complete and correct**. Even assuming the Claimant's final account was submitted on January 17, 2025, the Respondent has provided clarification on **February 17, 2025**, which is well **within the required timeframe**. Concerning the final bill submitted on May 28, 2024 the respondent had provided justification

during the earlier submission date July 22, 2025. Therefore, the Respondent argues that the final payment was made **properly and on time**.

5) The Respondent reaffirms its earlier position and highlights following key points regarding the door materials, pricing, and alleged overpayment:

- Both parties agree that teak was specified in the BOQ, but WPC was used due to the Claimant's inability to procure teak. The Respondent argues that the Claimant cannot legally claim payment for materials (teak) not actually used. Under **GCC Clause 40.1**, the rate for such variation must be analyzed fairly. The Respondent applied the **Bhutan Schedule of Rates 2021** and material/labor coefficients to derive a just rate, using the BOQ as a baseline.

- The Respondent reiterates that the Claimant applied incorrect percentage adjustments for 178 doors, not in line with **BSR 2021 Clauses 5.1.3 and 5.1.4**, resulting in overpayment. The actual deductible amount should be **Nu. 896,000/-, not Nu. 44,763.60**. Therefore, the Respondent requests the tribunal to a) Determine whether the Claimant's applied rate was lawful and b) Order a refund of **Nu. 174,461.46 plus interest** if the rate was incorrectly applied.

6) The Respondent reiterate that **imposing Liquidated Damages for 53 days (from Feb 1 to March 25, 2024)** is **reasonable, contractually justified, and legally valid**. As submitted earlier and summaries above, the initial contract period was only for 30 months from November 22, 2018 to May 21, 2021, within which Claimant had failed to complete the work. Further, there were not new works provided but were already part of the original BOQ. The changes provided later has amounted to **omissions** or **reductions in scope**, not additions. The failure to complete project on time was resulted from claimants' failure to give **timely notice**, **late material changes requests**, and **delayed execution** by the Claimant as shown and proven in the respondent earlier submission. Therefore, the Claimant is **liable for the delay** and corresponding penalties.

7) On the Dewatering, the Respondent denies liability for dewatering work from 2019 to mid-2022 due to **non-compliance with contractual procedures and lack of verifiable evidence**, and will only pay the **amount properly supported under the contract**. If the Claimant insists the work was done, the **Tribunal should request proper evidence**, such as the **joint measurement site order book**.

8) Further, for the dewatering the claimants had made access claims for which there are joint measurement records as submitted earlier **Nu. 46,372.19/-** which must be refunded.

9) On sand and aggregate, the Respondent respectfully asserts that, based on **Clause 7 of the main contract**, **GCC Clause 2.3**, and **GCC Clause 63.1**, it is **not contractually obligated** to provide **sand and aggregate**. The fact that the Claimant only submitted a bill for these materials in the **17th running bill**, and the Respondent's clarification that the **cost was already included in the BOQ**, further supports the **parties' original intention**. Therefore, **no**

additional payment is due, and the Respondent **is not liable** for the Claimant's claim regarding sand and aggregate.

To this effect, the Respondent request that the Tribunal may seek expert interpretation from the Department of Procurement and Property, Ministry of Finance to validate this contractual reading for fair and just.

10) The Respondent maintains its previously stated position regarding **interest on late payment and counterclaims**, and believes that **no further clarification** is necessary.

Prayer/Relief

The Legal Counsel for the Respondent respectfully would like to pray the following to the Hon'ble Arbitrators:

1) Dismiss the case for lack of jurisdiction for failure to refer the dispute to the adjudicator or arbitrator within 14 days of the notification of Respondent's decisions;

2) In case, the Hon'ble Arbitrators decides that there is jurisdiction to adjudicate the case, the Respondent respectfully would like to pray the following to the Hon'ble Arbitrators:

   a) Declare that the Respondent has not violated GCC Clause 28.2 as there is no variation issued by the Respondent making it impossible to complete the work within the completion date line;

   b) Declare that the Claimant has grossly failed to abide by the Contractual Terms by failure to provide early warning;

   c) Declare that the Claimant has not fulfilled condition for time extension, in particular, GCC Clause 44.1 "Compensation Event for allowing time extension".

   d) Declare that the work provided starting December 18, 2023 which Claimant termed as addition is not additional rather a substitution and slight variation with **omission** for which time extension is not eligible;

   e) Declare that the Respondent had never refused to settle the final bills rather acted according to GCC Clause 56 and 43.1;

   f) Declare that the door frames and shutter bill submitted by the Claimant through application of BOQ rates as well as application of rate/percentage not as per the BSR 2021 resulted in an excess payment of Nu. **174,461.46/-** and to refund along with 24 percent interest;

   g) Declare that the Claimant has failed to complete the work on time despite repeated extension and shall be liable for **Liquidated Damage for 53 days amounting to Nu. 8,253,941.63/-**

h) Declare that the dewatering claims without joint measurement violates GCC Clause 39.1 and 39.2 and/or indeed there were no dewatering requirement to perform from 2019 to Mid-2022, for which, the Respondent is not liable to making any payment;

i) Declare that the dewatering claims for which there are joint measurement records that the Claimant has made excess claims of **Nu. 46,372.19/-**.

j) Declare that the dewatering Claims with joint measurement, the Respondent needed to pay only **Nu. 373,239.61/-** along with 10 percent interest;

k) Declare that the price of sand and aggregate are already embedded in the quote price and Claimant is not eligible separately;

l) Declare that the Claimant is not eligible for any interest claim for Nu. 2,110,750.87/-, not deposited by BNB after deduction from the Respondents accounts and as instructed.

m) Declare Claimant has made excess claims for the float switch sensor for the dewatering pump set of Nu. **22,397.77/-** and refund with 24% interest into RAA's recovery account;

n) Declare the labour quarantine cost Nu. **647,300/-** should have been the Claimant cost which should be refunded to the Respondent along with 24% percent interest;

o) Declare that as a result of delay in completion of the project the Respondent incurred an opportunity loss of Nu. **70,250,743.61/-** which the Claimant must compensate.

3) The revised amount receivable/payable following adjustment of claimants claims and Respondents counters, in particular, reduction of plinth as submitted above is attached as **Exhibit- 68.** Total net Respondent receivable is **Nu. 71,200,524.37/-**

Respectfully submitted
Kuenzang Dorji
Legal representative for Respondent

Interest						
Particular	Amount	Interest	Days delayed	Total days	Interest	Total
Contractor						
Dewatering	373,239.61	10%	183	365	18,713.11	391,952.72
Bhutan Post						
Door Frame and Shutter	174,461.46	24%	125	365	14,339.30	188,800.76
Water Pumps (RAA)	22,397.77	24%	125	365	1,840.91	24,238.68
Quarintine	219,200.00	24%	1385	365	199,622.14	418,822.14
Quarintine	428,100.00	24%	1001	365	281,771.90	709,871.90
Opportunity Lost (IDC, Rental from Building and Rent Paid)	70,250,743.61					70,250,743.61
					Total	**71,592,477.09**
Net Receivable						**71,200,524.37**

LEGAL SERVICES AGREEMENT

This agreement is made between Mr. **Kuenzang Dorji, Attorney, Geylek Kuenjung Law Firm**, Thimphu Bhutan hereafter referred to as "Law Firm", and **Bhutan Postal Corporation Limited**, from Thimphu Dzongkhag, Thimthrom referred to as "Client".

Have agreed as the following:

RESPONSIBILITIES OF LAW FIRM

1. The Law Firm shall:

(a) Perform the legal services called for under provision 3 of this agreement,

(b) Share submission prepared to client before submission to the tribunal; and

(c) Keep Client informed of progress and developments.

RESPONSIBILITIES OF CLIENT

2. The Client shall:

(a) Provide all information and documents to Law Firm's effective representation,

(b) Share comments on the submission shared by law firm within next day;

(c) Make timely payment required by this agreement.

SERVICES TO BE PROVIDED

3. The legal services to be provided by the Law Firm to Client is representation in the case between **"Bhutan Postal Corporation Limited v/s Gyalcon Infrastructure Pvt. Ltd"** Arbitration Centre, Thimphu.

FEES/DEPOSIT and ANY OTHER ADDITIONAL COST

4. The client agreed to pay a total fee of Nu: **700,000** /-, as specified below:

1) Pay 30 percent of agreed fees on attending first hearing;

2) Pay 30 percent of agreed fee on attending second hearing;

3) Pay 20 percent submission of closing argument; and

4) Pay the remaining 20 percent on delivery and enforcement of the award.

GUARANTEE

5. The Law Firm may provide Client with his professional opinion and advice regarding how the matter may be resolved. In doing so, the Law Firm makes no guarantee regarding the outcome.

COMMUNICATION

6. Law Firm and Client shall communicate with one another using unencrypted email/whatsapp and cellular telephones.

TERMINATION

7. This agreement may be terminated by either party, at any time, by giving written notice either for failure to perform by law firm or not having paid fees by client as specified in clause 4 among others.

DISPUTES SETTLEMENT

8. Any dispute arises out of interpretation and/or implementation of this Agreement shall be resolved amicably between the **PARTIES** by negotiation.
9. If unresolved, the **PARTIES** shall refer the dispute to the Royal Court of Justice as per Laws of the Kingdom of Bhutan.

AMENDMENT

10. Any changes or amendments to this Agreement and any future agreement(s) as to services, Costs and/or Fees owed under this Agreement shall be set forth in a writing signed by the parties in order to be effective.

ENTRY INTO FORCE AND VALIDITY

11. This agreement shall be effective on returns of signed copy of this agreement.

IN WITNESS WHEREOF, the undersigned, thereto have signed the present Agreement on June 23, 2025 in the English.

Mr.Kuenzang Dorji

(Attorney)

Mr.Thinley Wangchuk
Offtg. Chief Executive Officer
(Client)

Ms.Rinchen Zangmo
Head, Corporate Services Department
Witness